

CHAPTER THREE

DECISION MAKING

Objective of the chapter:

At the end of this chapter you will be able to:

- Define decision making and related terms
- Describe decision making process steps
- Differentiate programmed and non-programmed decisions

3.1 MEANING OF DECISION MAKING

Decision-making is one of the basic ingredients of managerial leadership. More than anything else, the ability to make sound, timely decisions separates a successful manager from a non-successful. It is the responsibility of managers to make high quality decisions that are accepted and executed in a timely fashion.

Decision-making is a mental process. It is a process of selecting one best alternative for doing a work. Thus, it is a particular course of action chosen by a decision maker as the most effective alternative for achieving his goals. According to D.E. McFarland, "A decision is an act of choice wherein an executive forms a conclusion about what must be done in a given situation. A decision represents a course of behavior chosen from a number of possible alternatives".

Hence decision-making is a typical form of planning. It involves choosing the best alternative among various alternatives, in order to realize certain objectives. A decision represents a judgment, a final word, and resolution of conflicts or a commitment to act in certain manner in the given set of circumstances. It is really a mental exercise which decides what to do.

3.2 Who Makes Decisions

- Individual
- Consultation
- Group
- Delegation

3.1.

Organ

izational Models of Decision Making Behaviour

A. The Economic/rational Model

The rational model has the following important assumptions:-

- The outcome will be completely rational.
- The decision maker has a consistent system of preferences, which is used to choose the best alternative.
- The decision maker is aware of all the possible alternatives.
- The decision maker can calculate the probability of success for each alternative.

B. The Administrative/Bounded Rational Model

- The bounded rationality model has four assumptions:
- Managers select the first alternative that is satisfactory.
- Managers recognize that their conception of the world is simple.
- Managers are comfortable making decisions without determining all the alternatives.
- Managers make decisions by rules of thumb or heuristics.

C. The Political Model

- In the political model, the individual's pursuit of his or her own self-interest is considered to be the dominant rationale for making decisions.
- The model often portrays organizational decision makers in an unfavourable light and suggests that they are willing to do whatever is necessary to get their way.
- Hence, the use of unethical practices, threats, influence, etc., is a significant feature of this model.

D. The Garbage Can Model

- In the garbage can model, the organization is a garbage can in which problems, solutions, participants, and choice opportunities are floating around randomly.
- If the four factors happen to connect, a decision is made.
- The quality of the decision depends on timing.
- The right participants must find the right solution to the right problem at the right time

3.2. DECISION MAKING SITUATIONS

1. **Decisions under certainty:** decisions are made in which the external conditions are identified and very predictable/whenever there is complete data & information.
2. **Decisions under risk:** those decisions in which probabilities can be assigned to the expected outcomes of each alternative.
3. **Decisions under uncertainty:** it is a case where neither there is complete data nor probabilities can be assigned to the surrounding conditions. Some conditions that are uncontrollable by management include competition, government regulations, technological advances, the overall economy, and the social and cultural tendencies of society.

3.3.

TYP

ES (PROGRAMMED AND NON-PROGRAMMED DECISIONS).

Types of Decisions: Several authors believe that there are two types of decisions: programmed & non-programmed decisions.

1. Programmed Decisions

Programmed decisions are those that are made in predictable circumstances and have predictable results. Results are predictable because similar decisions have often been made under similar and recurring circumstances. When problems are of repetitive and routine nature, alternative

procedures are developed and used to solve these problems each time they occur. Programmed decisions are, therefore, based on policy directives, procedures and rules.

2. Non-programmed Decisions

Non-programmed decisions are those that are made in unique circumstances and often have unpredictable results. While programmed decisions can be anticipated, non-programmed decisions must be dealt with as they occur. Higher-level managers tend to make more non-programmed decisions.

For example:

- Whether to add a product to the existing product line
- To reorganize/ restructure the company, or
- To acquire another firm.

Inputs of Decision Policies, Procedures, Rules, Guidelines, and other parameters	Programmed Decision	Out comes Results of most operations are expected, known, or probabilities are estimated
Inputs for Decisions No clear objective, or information, often intuition and judgment	Non-programmed Decision	Out comes Results are unknown or unexpected, probabilities are not estimated

3.4.

RATI

ONAL DECISION MAKING PROCESS

A decision is a choice of one alternative from a set of available alternatives. The **rational decision making process** comprises the steps the decision maker takes to arrive at this choice. The process a manager uses to make decisions has a significant impact on the quality of those decisions. If managers use an organized and systematic process, the probability that their decisions will be sound is higher than if they use a disorganized and unsystematic process. A model of the decision-making process that is recommended for managerial use is as follows:

1. Define the problem

he accurate definition of a problem affects all the steps that follow; if a problem is inaccurately defined, every other step in the decision - making process will be based on that incorrect point. A manager needs to focus on the problem, not the symptoms. This is accomplished by asking the right questions and developing a sound questioning process. The most obviously troubling situations found in an organization can usually be identified as symptoms of underlying problems. These symptoms all indicate that something is wrong with an organization, but they don't identify root causes. A successful manager doesn't just attack symptoms; but he should work to uncover the factors that cause these symptoms.

Symptoms and Their Real Causes	
Symptoms	Underlying Problem
Low profits and/or declining sales	Poor market research
High costs	Poor design process; poorly trained employees
Low morale	Lack of communication between management and subordinates
High employee turnover	Rate of pay too low; job design not suitable
High rate of absenteeism	Employees believe that they are not valued

2. Establish decision criteria (Identify the limiting or critical factors) and allot weights

Limiting factors are those constraints that rule out certain alternative solutions. One common limitation is time. Resources - personnel, money, facilities, and equipments- are the most common limiting or critical factors that narrow down the, range of possible alternatives.

3. Develop potential Alternatives

At this point, it is necessary to look for, develop, and list all many possible alternative solutions to the problem- as you can. These alternatives should eliminate, correct or neutralize the problem. One of the best known methods for developing alternatives is through **brainstorming**, where a group works together to generate ideas and alternative solutions. **Delphi technique**- with this technique, participants never meet, but a group leader uses written questionnaires to conduct the decision making.

4. Evaluate Alternatives

The purpose of this step is to decide the relative merits of each idea. Managers must identify the advantages and disadvantages of each alternative solution before making a final decision. Once the alternatives are enumerated the decision maker must critically evaluate each one and identify the strong and weak points when compared against the criteria and the weights established. In evaluating each alternative, we not only consider numerical terms- things that can be measured in numerical terms such as time and various types of fixed & operating costs, but also consider intangible or qualitative factors such as the quality of labor relations, the risk of technological change or the international political climate.

5. Select the best Alternative

The best alternative is the one that produces the most advantages and the fewest serious disadvantages. Take care not to solve one problem and create another with your choice. Sometimes, the selection process can be fairly straightforward, such as the alternative with the

most pros and fewest cons. Other times, the optimal solution is a combination of several alternatives.

6. Putting decision into Action

After selecting the best alternative, we implement or put it into action. This requires communication of decision to subordinates, getting acceptance of the decisions, and getting support and cooperation for converting the decision into effective action. Establish programs, procedures, rules and policies that effectively support the decisions.

7. Establish a control and Evaluation system

Ongoing actions need to be monitored. An evaluation system should provide feedback on how well the decision is being implemented, what the results are, and what adjustments are necessary to get the results that were intended when the solution was chosen. In order for a manager to evaluate his decision, he needs to gather information to determine its effectiveness. Was the original problem resolved? If not, is he closer to the desired situation than he was at the beginning of the decision-making process? If a manager's plan hasn't resolved the problem, he needs to figure out what went wrong. A manager may accomplish this by asking the following questions:

- ♣ **Was the wrong alternative selected?** If so, one of the other alternatives generated in the decision-making process may be a wiser choice.
- ♣ **Was the correct alternative selected, but implemented improperly?** If so, a manager should focus attention solely on the implementation step to ensure that the chosen alternative is implemented successfully.
- ♣ **Was the original problem identified incorrectly?** If so, the decision-making process needs to begin again, starting with a revised identification step.
- ♣ **Has the implemented alternative been given enough time to be successful?** If not, a manager should give the process more time and re-evaluate at a later date.

3.5. Decision makers face three types of problems:

- **A crisis problem:** is a serious difficulty requiring immediate action.
- **A non-crisis problem:** is an issue that requires resolutions but does not simultaneously have the importance and immediacy characteristics of a crisis.
- **An opportunity problem:** is a situation that offers strong potential for significant organizational gain if appropriate actions are taken.

3.6. Why Do Managers Make Poor Decisions?

- Lack of adequate time
- Failure to define goals
- Using unreliable sources of information
- Fear of consequences
- Focusing on symptoms rather than causes
- Reliance on Hunch and Intuition